Beauhurst

The Deal 2023

Equity investment market update

Contents

Methodology

Data for the report was collected by Beauhurst and finalised on 26 January 2024. The report looks at all announced equity investments received by private companies headquartered in the UK, in all sectors. Equity rounds are found by monitoring thousands of investment sources; Beauhurst also maintains relationships with hundreds of investors to receive information about their portfolio companies. In this context, equity investment refers to the issuance and sale of new shares by a company to fund its growth.

To be included in the analysis, an investment must be:
Dated between 1 January 2013 and 31 December 2023
Publicly-announced
Some form of equity investment
Secured by a non-listed UK company

The following types of companies are not covered in this report:
Non-UK companies
Purely not-for-profit companies
Companies whose shares have been listed on a stock exchange
Companies that are majority-owned by a fund or another company
Project companies', like those formed to create a film, stage a play, construct a solar farm, or undertake a property project.

Foreword

Henry Whorwood

Managing Director
Research & Consultancy

In introducing our latest edition of The Deal I've set myself the task of trying to summarise last year's investment trends, without being or sounding like a pessimist. So for every stat that's down or stagnant, I'm going to try to give the silver lining.

Firstly, funding is down. That much you knew already. The number of announced deals is down by a quarter; the amount raised is down by almost a half. It's a big drop. But although we present these deals as one group, there's actually a lot of heterogeneity in the asset class. One reason the numbers have dropped is because we've seen tourist investors leave the market. These aren't specifically funds from abroad (although many were), but rather the funds for whom startups were an excursion from their normal territory. These funds had a lot of money to invest, so their departure is keenly felt in the statistics.

Another reason the numbers are down is because we've seen the disappearance — in the UK at least — of the capital-as-moat strategy. Few companies are raising at the moment to burn their cash to acquire market share (although some companies are having to raise significant sums to secure computing power for AI models).

Overall, this slowdown in funding doesn't mean companies are dying. Although there's widespread news that insolvencies are at record levels, one has to remember that it's a natural corollary with a higher number of companies in the UK that insolvencies and dissolutions should be at record levels in absolute terms.

That's not to say that we won't yet see it. A recurring theme I'm hearing from entrepreneurs and investors is about hunkering down to survive what looks to be a tough year. George Whitehead, of ACF Investors, put it succinctly as 'Survive to 25.' With 11 months to go, it's not actually as bleak as it sounds.

But readers of this report want to know what might bring deal activity back up? As much as one hears about 'dry powder', that simple term neglects the complicated realities of the pressure on the wallets of many if not most Limited Partners (LPs).

For the UK's startups and scaleups the key consideration at the moment (to my mind) is liquidity. Far and away the most common route to exit for equity-backed entrepreneurs and their investors alike is a trade sale. Until we see more of these, and at good valuations, the investment landscape for private companies is going to stay gummed up. From a wider macroeconomic view, election year giveaways could materially boost consumer confidence and unlock the cheque books of big corporations at the same time.

Deals announced in 2023

2,179

Deals announced in 2022

2,917

-25% since 2022

£12b

Invested in 2023

£20.6b

Invested in 2022

-42% since 2022

Key Findings

Investment continued to decline, with £12b invested into private UK companies throughout 2023

There were 11 gigadeals, and 26 megadeals throughout 2023

Faith in early-stage companies and startups remained

Equity investment was at its lowest since 2018

London secured 48% of deals

There was a decline in deals across most sectors

Scotland had 6% of deals, with the East of Scotland taking 3.5%

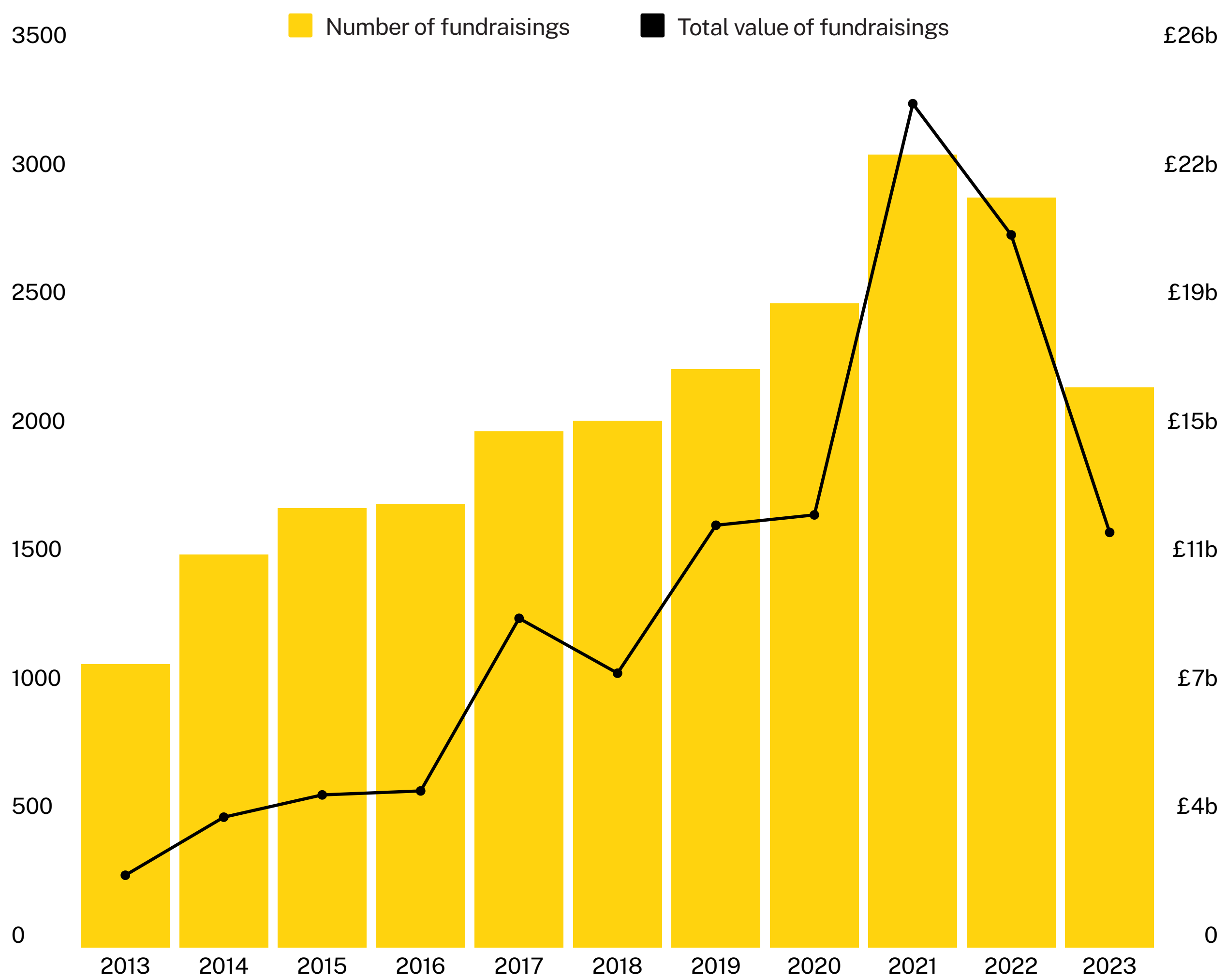
Q2 had the highest number of deals

Headline Funding Figures

2021 set a high standard, and it's been difficult to live up to that record-breaking year since. The equity investment market saw a decline in 2022, and this has continued into 2023. It might not be the news we were hoping for, but there's still backing for early-stage companies — and from looking at the data, it's likely that sectors such as cleantech, SaaS, and AI will see significant investment in 2024.

Across the year, we've seen fluctuations in the number of deals closed. Like in 2022, most of the deals were signed in the last half, but the drop off was significantly higher — and we saw a lower number of deals in Q1 than we would normally. Just 593 deals signed in Q1 2023 compared to the 878 deals signed in Q1 2022. This could reflect the uncertainty of the UK economic

1.1 Number of announced deals and amount raised by year

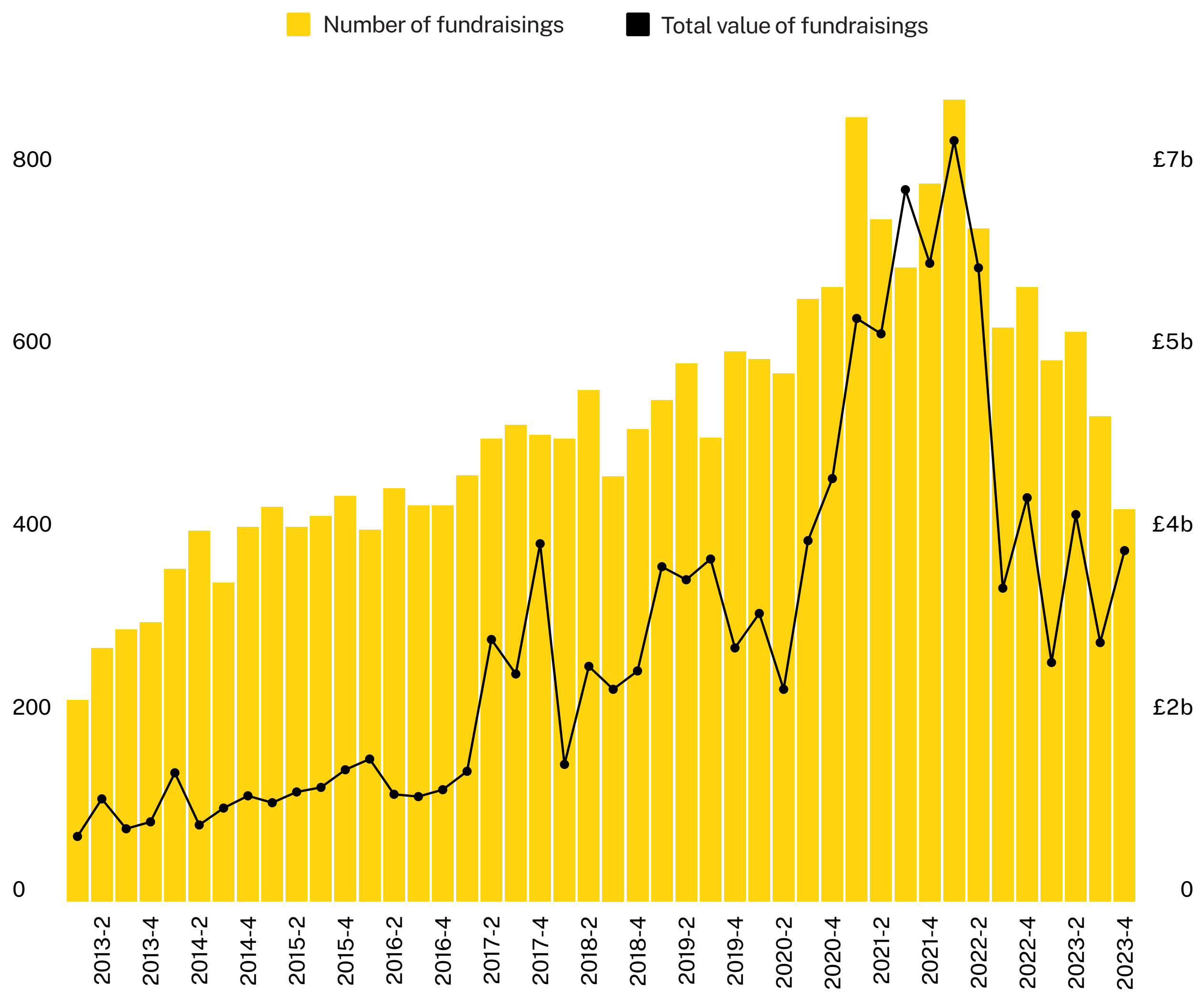


landscape. As change seems to be inevitable, investors aren't sure if now is the right time to invest, or hold back.

One thing is clear, with elections in 50 countries this year, we're likely to see more change in 2024.

> **"One thing is clear, with elections in 50 countries this year, we're likely to see more change in the new year"**

1.2 Number of announced deals and amount raised by quarter



Regional Trends

It comes as no surprise that London has, once again, secured the top spot, with a huge 1040 deals made in the capital. This accounts for 48% of the total deals in 2023. The South East (198) made up 9% of the year's deals, followed by the East of England (146) at 6.7%. This closely reflects the 2022 numbers, where London secured 49% of deals.

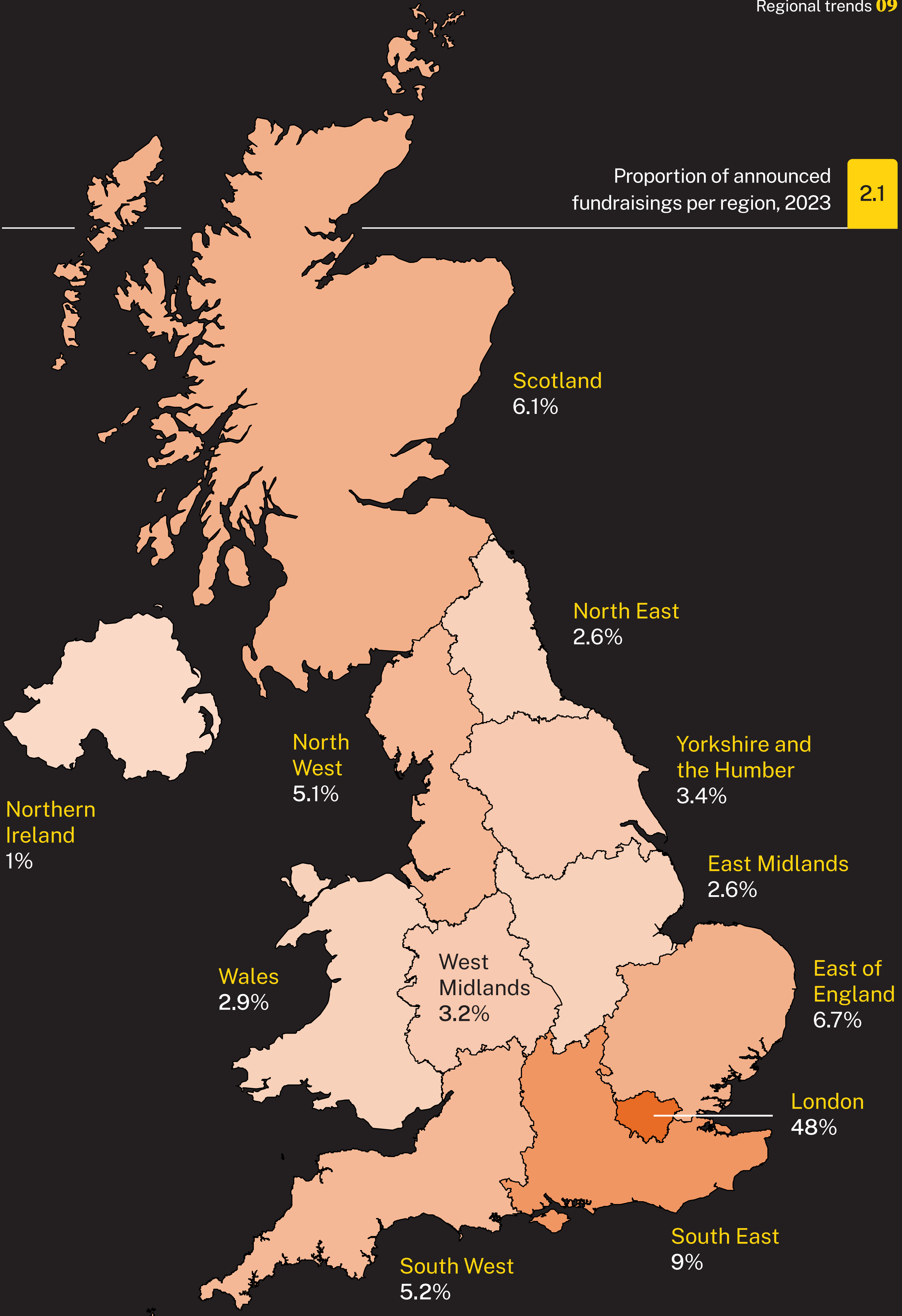
Scotland accounted for 6% of all the deals, with the East of Scotland (76) securing 3.5%. A marginal difference from last year, where Scottish deals amounted to 6.3% of the total. There was a drop in deals in Aberdeen, from 24 deals in 2022, down to six deals secured in 2023.

Wales had 64 deals, 2.9% and Northern Ireland had 23 deals, 1%. This isn't a significant difference from previous years, and Northern Ireland remains at approximately 1% of deals secured since 2021.

"It comes as no surprise that London has, once again, secured the top spot"

Proportion of announced fundraisings per region, 2023

2.1

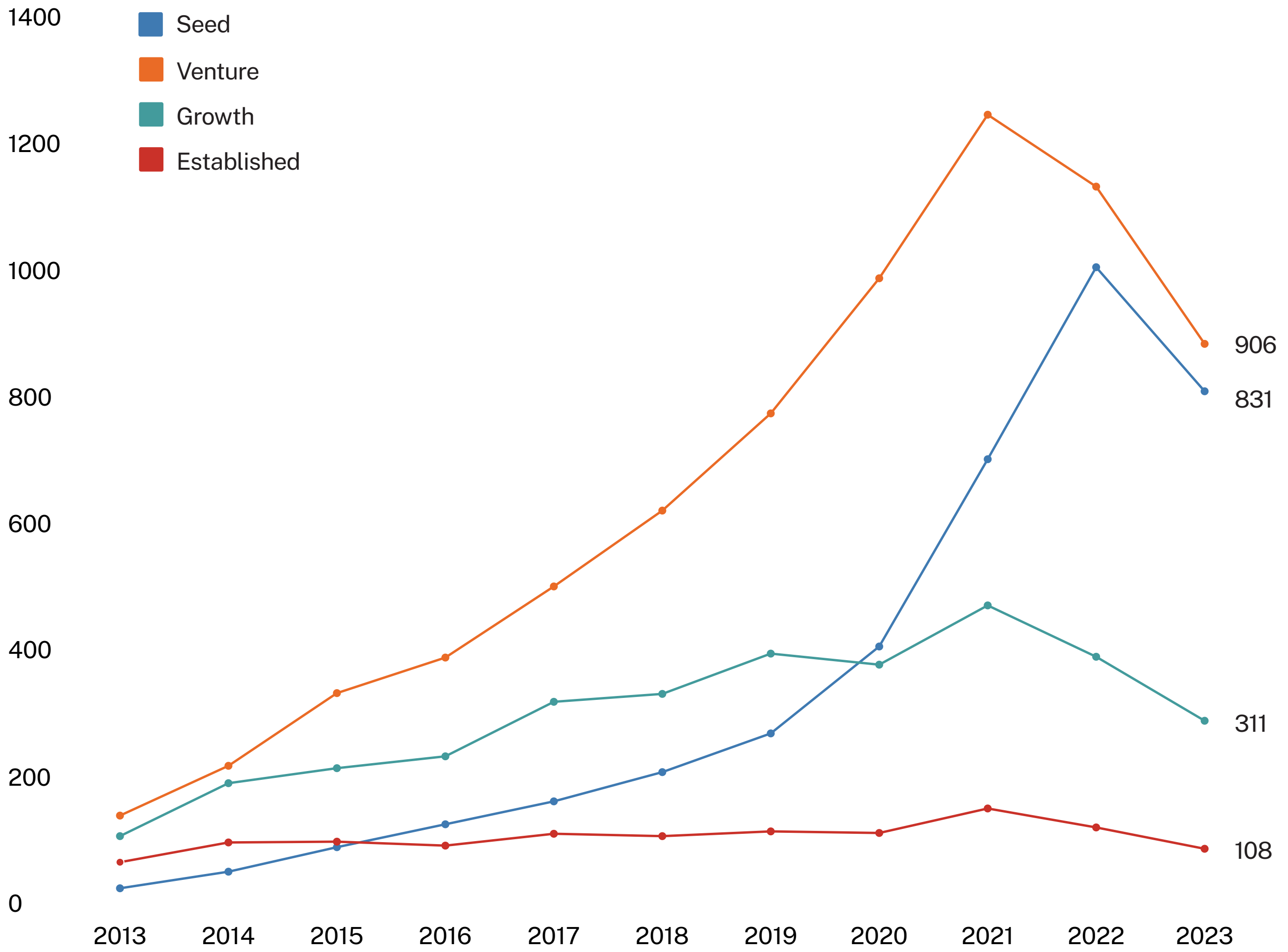


Stages of Evolution

Equity investment dropped slightly for seed companies but the number of deals remains the second-highest recorded, behind only 2022. There were 831 fundraisings for seed companies in 2023, down from 1027 in 2022, but greater than the 724 fundraisings in 2021. Prior to 2021, the record number of deals was 428, so the numbers look promising for seed. Venture companies had the most deals, but also declined marginally from 2022, 1154 fundraisings to 906.

The largest amount invested was in growth companies — £3.9b. Despite this, growth firms also had the biggest decrease in the amount invested, declining over 50%. Established companies also saw a decline, dropping from

3.1 Stage of evolution by number of deals

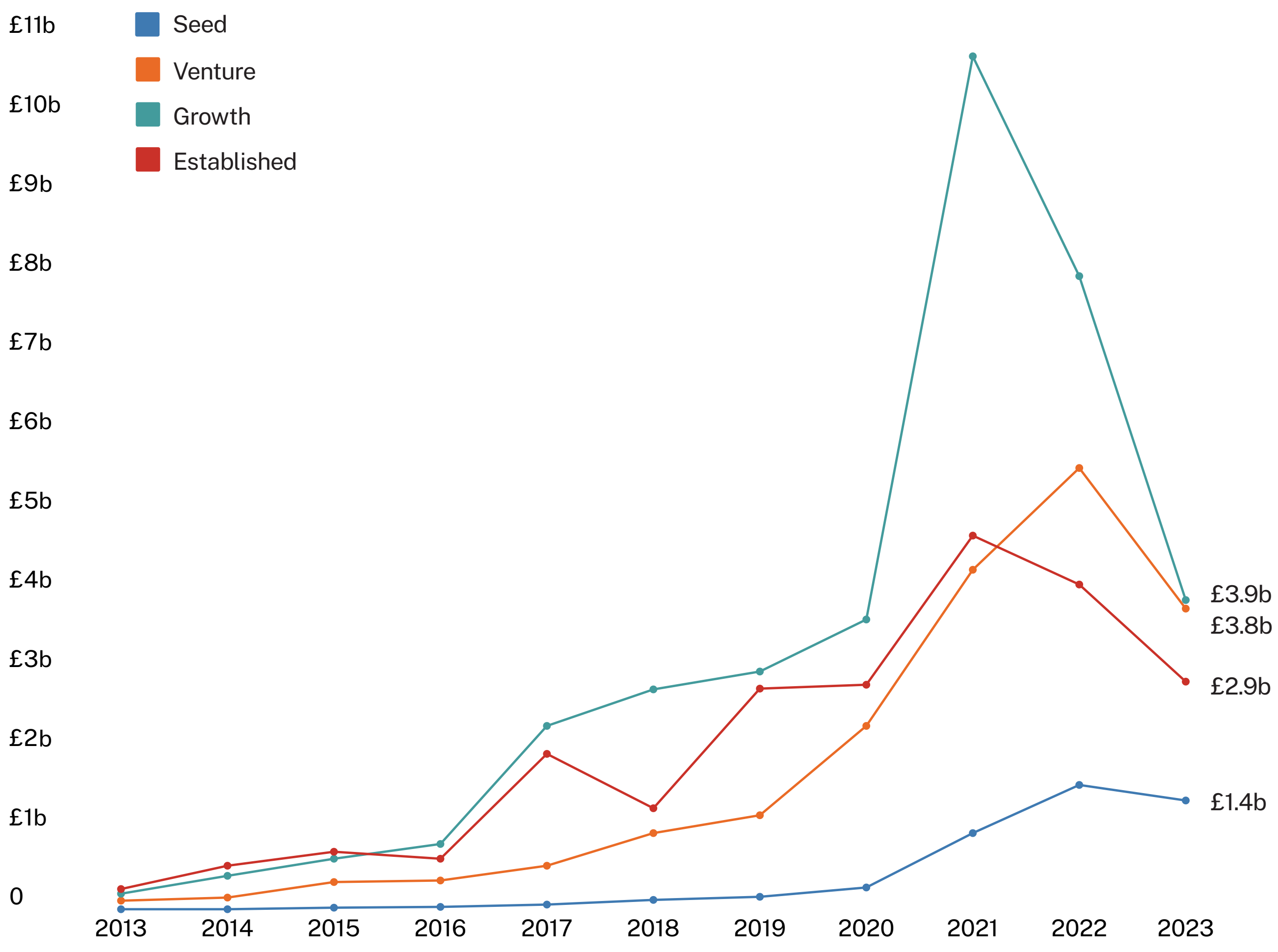


£4.1b invested to £2.9b. But had the smallest decline in number of deals, dropping just 34 deals.

Overall, the most invested in ‘stage of evolution’, by the number of fundraisings, was venture at 42%, followed by seed at 38%. This illustrates there’s still faith in startups and early-stage companies in the UK market.

> **“There’s still faith in startups and early-stage companies in the UK market”**

3.2 Stage of evolution by amount raised



Sectors

As an unpredictable macroeconomic state remains, we continue to see a decline across all sectors in 2023, as we did in 2022.

Blockchain had a huge surge in investment in 2021 and 2022, going from £132m invested in 2020 to £557m in 2021. However, there's been a decrease in investment in 2023 — with £399m of capital put into blockchain, and 82 deals secured. Has blockchain seen its moment in the sun? Some would argue no, with the rise of global investment into DeFi (decentralised finance). According to Statista, the global blockchain technology market is expected to grow from $5.9b to $1235b by 2030.

Cleantech has seen a slight decline since 2022, from 270 deals and £2m invested, to 243 deals and £1.9b invested in 2023. It remains one of the most funded sectors, and could continue to grow as the UK government works towards net zero. The government also announced in February 2024, that they want to accelerate the rollout of EV charge points in the UK — meaning businesses will receive larger grants for EV charge point installations. Field, who specialises in creating renewable energy, ranked fourth in our biggest deals of the year. This demonstrates the investment into cleantech that's already taking place. There's also been significant investment into clean energy generation, which we speak about in The Sustainable Business Movement.

As more people started working remotely, digital security boomed in 2020 and 2021. Since then, investment into digital security has dropped off — and is now the lowest it's been since 2018, with just 55 fundraisings and £363m raised.

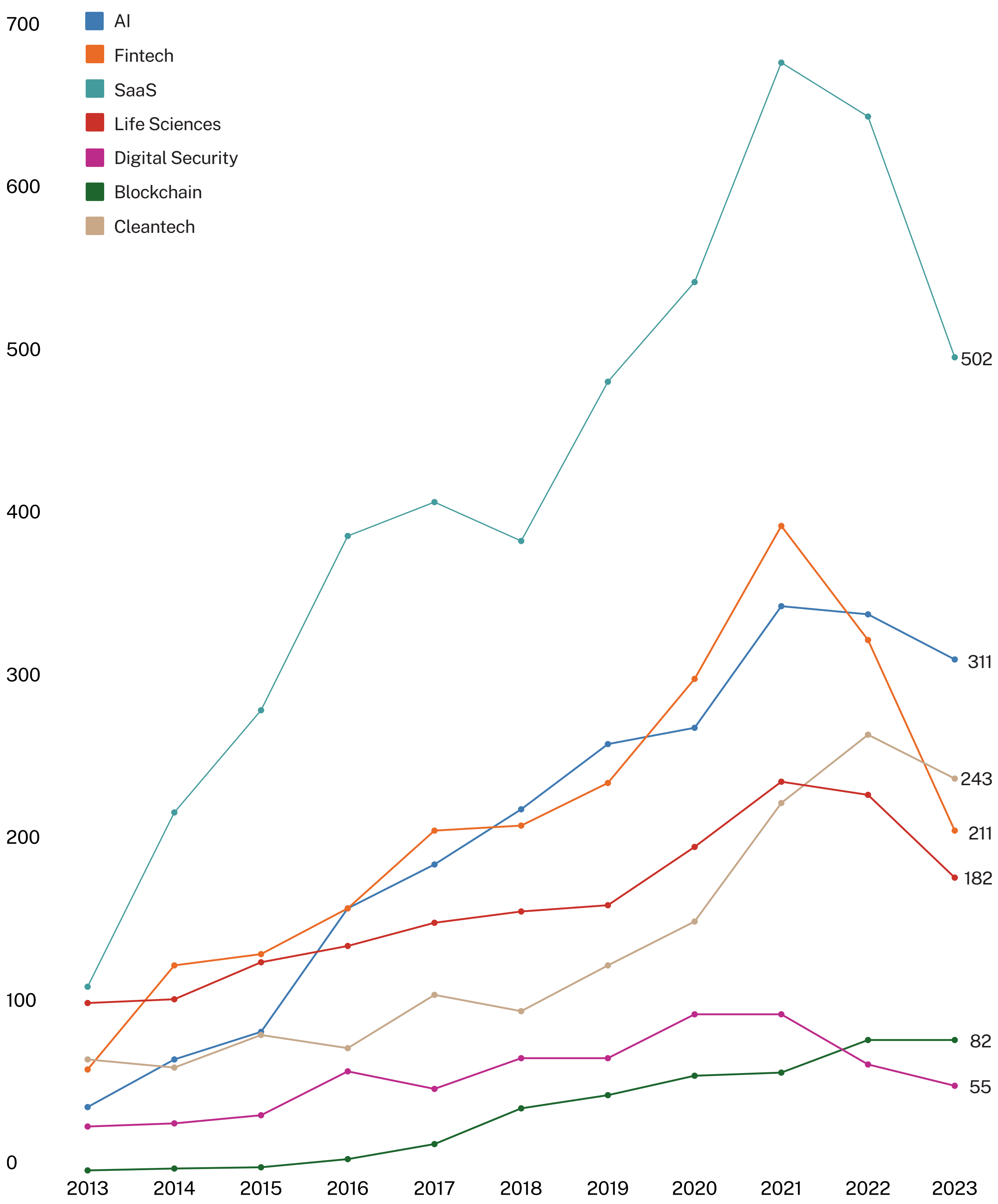
Fintech had another downtick, decreasing 37% in the number of deals since The Deal 2022, raising £1.8b compared to 2021's height of £7b. Life Sciences followed suit — with £1.1b invested in 2023 compared to £1.8b in 2022.

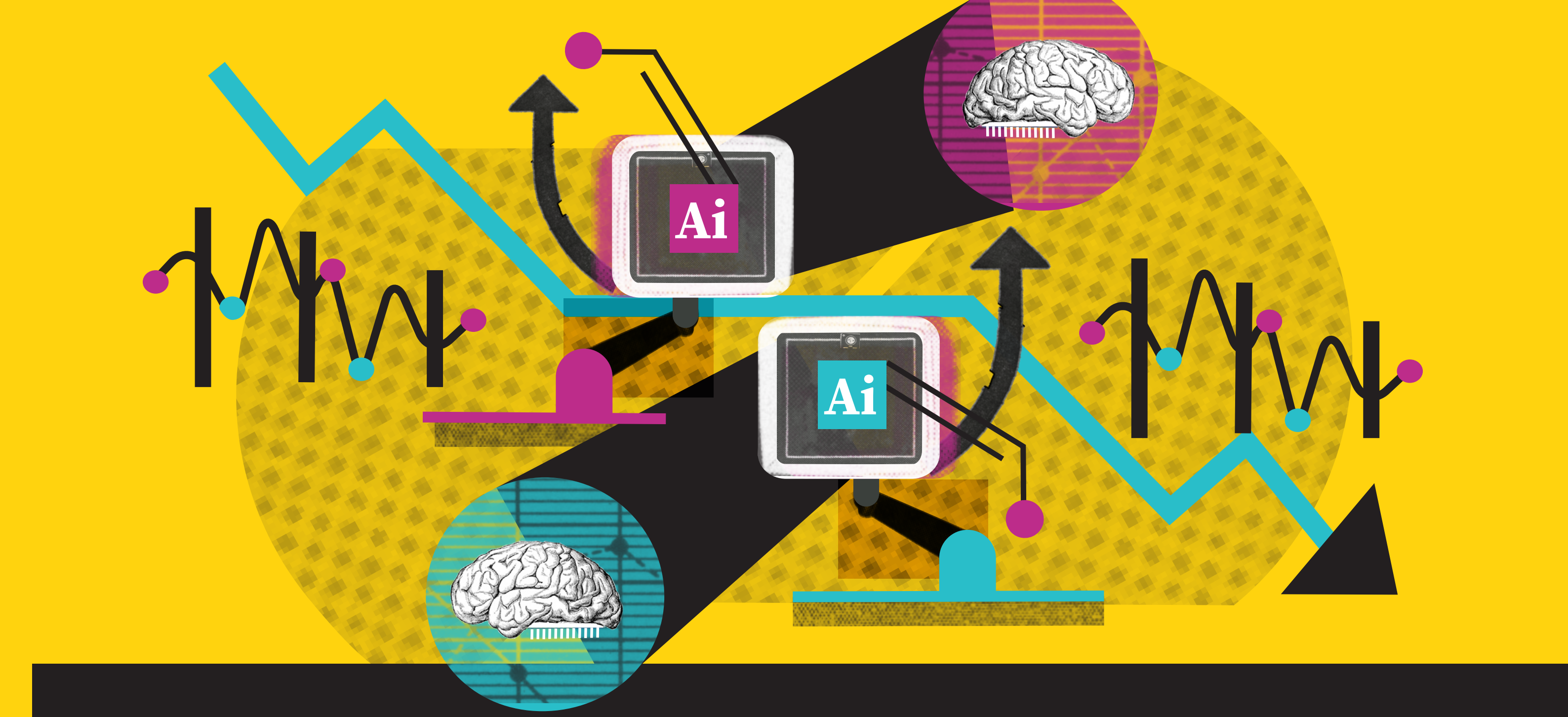
From looking at our selected sectors, it's evident that there's a decline in investment across most industries. However, there are some positives. SaaS remains strong, and took a lion's share of the deals — 23% (502 deals). The sector hit a similar percentage in 2022, with 22.3% (650 deals) in the UK, whilst globally the SaaS market also looks strong. According to Statista, the revenue in the SaaS segment will hit $344b by 2027, with an annual growth rate of 7.9%.

The year 2022 broke records for AI, with an unprecedented amount invested (£2.9b) — a trend that hasn't lasted as investment sinks to its lowest since 2018. This might not be owing to less interest in AI, and is more likely a reflection of the current market conditions. In fact, with the rise of generative AI, we're likely to see more investment in artificial intelligence. Google's SGE update is at the forefront of change — and other companies may follow suit and incorporate generative AI into their product, or service.

"There's a decline in investment across most industries"

4.1 Sectors by number of deals





The UK Artificial Intelligence Market Potential in a Year of Overall Decline


Elizabeth Ryan


Alejandro Giacometti

When The Deal 2022 came out in February 2023, generative AI was still a niche topic. Certainly not something you gathered around a pub table to discuss with your mates, unless you worked in the industry. When OpenAI introduced ChatGPT at the end of November 2022, everything changed.

Reuters reported that ChatGPT reached 100m users in just two months. It took TikTok nine months to reach that milestone. Now, you'd be hard-pressed to avoid the topic — even if you really wanted to.

That there was no dedicated AI section just one year ago shows how the development of this sector has hit lightspeed. It truly boggles the mind to consider where we might be in one, five, or 50 years from now.

Much of the conversation is currently dominated by American companies, but what of the UK AI industry? Where do we sit on the global playing field — are we change-makers, or are we mere electric sheep, blindly following Silicon Valley's shepherds?

In 2023, 291 UK AI companies raised £1.4b through 311 announced fundraisings. That's around 50% fewer than in 2022, when there were 342 fundraisings worth £2.9b.

However, 11.6% of the overall investment in 2023 was in artificial intelligence companies. In a year that saw a significant downturn in overall deals, more than 10% of total investment in the UK AI ecosystem illustrates the opportunities developing on home soil.

Of these 291 AI companies, 189, around 65%, are London-based. The East of England boasts the second-highest, at 21 companies. This confirms that the capital city remains the top artificial intelligence hub of the UK, by a mile. Outside of England, Scotland had 11 AI equity investment deals, Wales had 6, and Northern Ireland had one. 268 of those 291 companies have known founder information. This helps us to determine that 18 (6.7%) companies were founded by an all-female team. A further six companies (2.2%) had a majority-female founding team, while 36 (13.4%) had an even split of male and female founders. 208 (77.6%) AI companies receiving funding in 2023 were founded by either all-male or majority-male teams.

To put this into perspective, 9% of all companies that received funding in 2023 were female-founded, so the AI industry is lagging behind in this respect. Tech, in general, has long had a diversity problem, and the boom in AI businesses doesn't appear to buck the trend.

Deals aside, there are several camps when it comes to AI. 'The robots are going to destroy us all' is the shoutiest one. 'AI is just a hype that won't last' is the naive one. 'AI will improve humanity, if we regulate it properly' is where we stake our pitch.

Where you utter AI, 'regulation' often follows. The AI Safety Summit held late last year brought together nations from around the world to ensure that the benefits of AI technology can be harnessed responsibly for good and for all. The discussion around whether regulation restricts innovation is pertinent, particularly in the AI startup space. It's been said that AI is going to be the first industry to be regulated before it's even fully established.

How EU and UK regulation develops will have an enormous impact on the AI industry in this country, and how we carve out our seat at the table. With a general election looming, the decisions made at Number 10 will undoubtedly impact AI's ability to flounder or flourish in the UK.

Forget governments, regulators, and investors for a minute. What about the human side of AI? Who are the people working with it? What do they think the future holds?

I spoke to Alejandro Giacometti, Head of Machine Learning at Beauhurst, to find out some answers. A last little ponder from me. AI's impact on the world is vast, and to a large extent, unknowable. Where will we be in 2025? Only time will tell. This is history, people — we're in it.

Q&A: A Conversation with Alejandro on the Evolution and Future of AI

How AI has transformed

'AI has drastically evolved over the last few years. It used to be the purview of a relatively small group of tech companies and universities. But in the last few years, the floodgates have opened, and even more so in the last year with the explosion of large language models and specifically, OpenAI's GPT.'

'There are, of course, many areas where AI has been established as a standard tool for years, particularly as companies have become better at collecting and analysing data. These are well known, even if they're not associated with the current discourse around AI: forecasting, fraud detection, avoiding churn, customer segmentation, recommendations, translation, and classification of a million different types. There are so many business applications already utilising AI.

'However, generative AI seems to be radically different. We're seeing AI being used for more ambiguous or creative tasks, like writing blog posts, brainstorming, and image editing, as well as performing ad-hoc analysis of data, synthesising documents, and assisting software programming. This was unthinkable just a few years ago. There are older systems that performed these tasks before generative AI, but they required specialised development and high-quality task-specific training data. These new generative AI models seem to be at least adequate at performing these tasks without much context.

'Another exciting, but potentially disruptive, aspect is who's using these tools. Chat interfaces and an array of accessible web-based tools have given many non-technical users access to these models. They're now creatively applying them to their jobs in new and interesting ways. It's impressive, the enthusiasm with which a whole new group of people have adopted this technology. On the other hand, It is not clear whether it presents a challenge to the reliance on knowledge workers or an enhancing tool to make them more productive. Has automation progressed from taking jobs in factories to coming after us next? Or — is it the opposite? Is AI creating a wider divide between specialists and non-specialists? Or, does it allow non-specialists to compete with people who have skills that typically require years of training to master?

'I suspect that this technology will increasingly become immensely useful in the hands of skilled workers, with the power to make us even more productive. Eventually, knowledge workers who don't know how to leverage AI will have a difficult time trying to catch up.'

How AI has influenced day-to-day work

'Previously, we were always careful to create the simplest possible model that solved the problem. This keeps systems tractable and more easily interpretable. Now, LLMs offer a shortcut. It offers a basis that you can build upon rather than starting from scratch, opening the door to rapid experimentation. You can get from an idea to decent results very quickly. But it obviously makes systems more complex. They also bring up other issues, such as how to evaluate the results of these experiments in an effective and consistent way. It isn't easy.

'It's also a fact that everyone has access to the same technology. So, we have to think about what makes Beauhurst special — we strongly believe that what differentiates our platform is the quality of our data. We are, of course, experimenting with how AI can improve our offering, with the knowledge that our highly curated data is what sets us apart. Quality input equals quality output, right? We have a decade of experience with company data, so we have carefully developed our methodology and processes, and are constantly improving them. We also have a rich set of high-quality hand-curated data that we base our models on.

'At some level, though, the day-to-day work is the same. We have to understand the data that we're using, what our customers need, and how well the different sets of challenges that they have can be solved by machine learning and artificial intelligence. That's the same as always, but now I have another set of tools that help us to experiment more. That's exciting.'

AI regulation & development

'Regulation in AI is something that we'll be hearing a lot about. As exciting as AI advancements are, there are lots of unresolved issues. We've also realised some limitations of AI, and addressing these will be a significant focus in the future. We need to consider who gets to control this technology and who gets to use it, what kinds of safety mechanisms are applied to them, what data is used to train it, and who owns the intellectual property of training data and the model output. Geography matters quite a bit, as this is an expensive industry.

'I think regulation, funding, and development go hand-in-hand, so you can't just regulate it without getting involved in the innovation. That's why the government needs to be actively involved in the conversation around AI, so they understand its capabilities and potential risks fully.

'This involvement should include people in decision-making roles who understand the industry and can look after the public's interest. They must be interested in understanding and reacting to the societal impact, as well as having enthusiasm for being part of its development. We can't expect the government to only step in every few years and make impactful decisions; they need to be part of the ongoing development and innovation process, otherwise, they'll always be playing catch-up.

'However, there's a balance to be struck. Over-regulation could potentially hinder the development of AI. However, if we don't attempt to regulate it, and create our own AI models and businesses in the UK and Europe, we risk defaulting to the American or Chinese view of things. It's not just about access, but also about ensuring that the technology is built to our standards on privacy, intellectual property, and safety. '

Final thoughts

'AI is an exciting field with immense potential. It's transforming the way we work and live. There is currently a lot of energy, creativity and enthusiasm. However, it's equally important to recognise its risks and limitations and address them. We need to approach AI with a balanced perspective, fostering innovation while safeguarding public interests. The future of AI holds much promise, and I'm excited to see where it takes us.'

5 biggest AI deals of 2023

Causaly

Head office location: London
Date of raise: July 2023
Deal size: £45.7m

Participating funds: European Bank for Reconstruction and Development Venture Capital (EBRD VC), ICONIQ Growth, Index Ventures, Marathon Venture Capital, Pentech Ventures, Visionaries Club, and undisclosed angel investors.

Causaly has developed software that uses AI to analyse large datasets for biomedical researchers.

Tractable

Head office location: London
Date of raise: July 2023
Deal size: £49.9m

Participating funds: Georgian Partners, Insight Partners, and SoftBank Vision Fund 2.

Tractable has developed AI software designed to analyse photos of damage from car accidents and natural disasters for data-based estimations of repair costs.

Synthesia

Head office location: London
Date of raise: June 2023
Deal size: £71.4m

Participating funds: Accel, Firstmark Capital, GV (Google Ventures), Kleiner Perkins, MMC Ventures, and NVIDIA.

Synthesia has developed AI technology designed to accurately model the intricate details of the human face in motion for the purposes of enhancing virtual storytelling.

Infogrid

Head office location: London
Date of raise: April 2023
Deal size: £72.4m

Participating funds: ACommitted Capital, JLL Spark, Northzone Ventures, Original Capital, Pictet Private Equity, SoftBank Vision Fund 2, TVC Capital, and undisclosed investors.

Infogrid has developed a buildings intelligence platform that analyses Internet of Things (IoT) technology, with the aim of making buildings more efficient and sustainable.

Quantexa

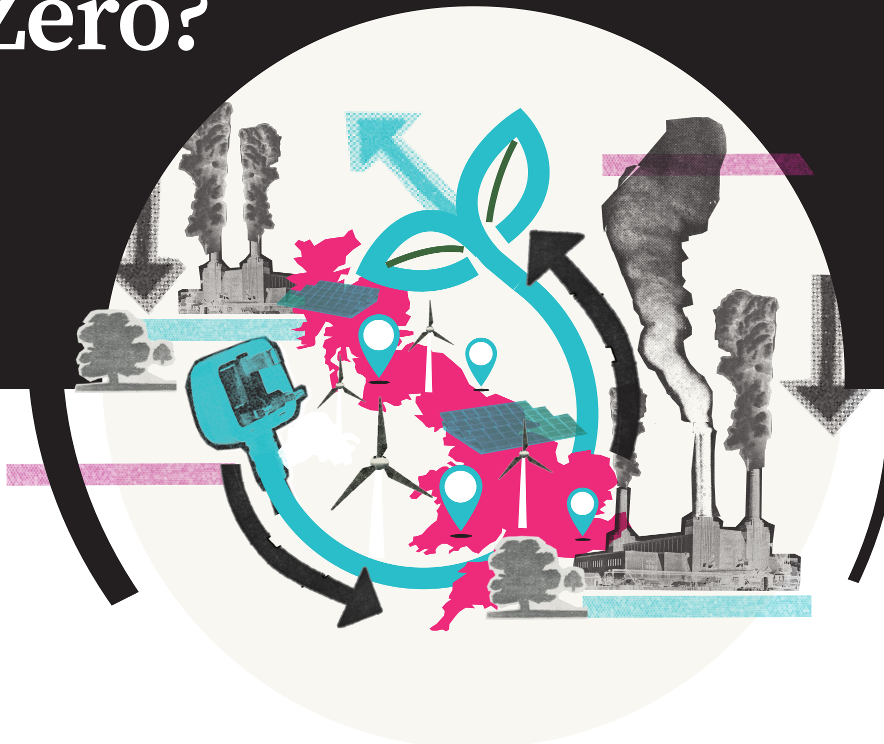
Head office location: London
Date of raise: April 2023
Deal size: £104m

Participating funds: BN AMRO Ventures, AlbionVC, BNY Mellon, British Patient Capital, Dawn Capital, Evolution Technology Fund, Government of Singapore Investment Corporation (GIC Private Limited), HSBC Enterprise Fund, and Warburg Pincus.

Quantexa has developed a decision intelligence platform using big data and artificial intelligence, designed to help companies grow with confidence.

The Sustainable Business Movement: how are companies making the shift towards Net Zero?

Harry Walker



What is the UK's approach to the transition to net zero?
In 2023, the consumption of fossil fuels in the UK was at its lowest level since 1957. Alongside a reduction in demand for energy produced from sources such as oil and gas comes a more significant contribution from renewable sources such as wind and solar. In the UK's energy mix, renewables now contribute a greater share than oil and gas. This is positive and shows the progress the UK is making towards reducing carbon emissions. Increased investment for those companies generating clean energy has also come alongside this.

High-growth UK clean energy generation companies received £1.33b in equity investment in 2023, a 40.0% increase from 2022. This comes at a time when the general trend in equity investment in the UK is down, showing that the sector is performing well in comparison to the wider ecosystem.

The UK government has a policy in place to reach net zero by 2050. This means that greenhouse gas emissions are to be reduced by 100% compared with 1990 levels. As part of this, the government has stated it will continue to increase the use of renewable energy, claiming that by 2035, it will have achieved fully 'clean' energy. Another action in place is to increase the sale of electric cars by banning the sale of new diesel and petrol cars from 2035.

How are companies helping in the transition to net zero?

Energy reduction:
In the UK, 363 high-growth companies specialise in energy reduction, which has a wide range of applications across various industries for both consumers and businesses. In 2014, 183 active companies were operating in this sector, meaning the number of companies has almost doubled over the past 10 years. This industry is dominated by early-stage companies, with over two-thirds of firms in either the seed or venture stage of evolution.

Companies secured a record-breaking amount of equity fundraising in 2022, raising £353m via 103 deals. Southwark-based Carbon Clean contributed significantly to this high total, raising £123m through a single fundraising in 2022. This year could be seen as an outlier for this sector, with 2023 fundraising levels falling closer in line with the figures seen in 2020 and 2021. Despite the drop in equity raised between 2022 and 2023, these companies have already raised more in 2024 than throughout the whole of 2017.

Carbon Clean are one of the leading companies when it comes to equity raised among energy reduction technology companies. Founded in 2009, Carbon Clean provides carbon capture technology and services that help industries to reduce their carbon emissions. The Southwark-based company provides a full range of services and equipment, aimed at helping companies to achieve net zero. The process can work within existing operations, which, the company claims, can minimise disruptions and maximise cost-effectiveness. The company's carbon capture, utilisation, and storage technologies are designed for hard-to-abate industries such as refineries, steel, and biogas. Since 2012, Carbon Clean has received £151m in equity fundraising via five rounds, in addition to £4.32m in grant funding. Its 2022 fundraising included follow-on investment from CEMEX Ventures, Chevron Technology Ventures, Marubeni, and WAVE Equity Partners, as well as new investors, including Saudi-based Aramco Ventures Sustainability Fund.

Carbon is not the only greenhouse gas that contributes to climate change. Methane is a potent greenhouse gas and is also responsible for trapping heat in the atmosphere. Bluemethane is a company aiming to capture and remove methane from water, which is then converted into bioenergy. Co-founded by Louise Bentata and Nestor Rueda-Vallejo in 2021, Bluemethane has secured £427k in equity fundraising alongside three grants, amounting to £50k.

Clean energy production:

A further way companies can transition to more sustainable practices is through using clean energy. In the UK, there are currently 531 high-growth companies working on generating clean energy. These companies range from those developing and enhancing wind turbine technology, to those operating biogas energy plants. Equity investment in these companies has consistently increased, reaching a peak of £1.33b in 2023. This consistent growth is particularly impressive given that equity investment in the wider high-growth environment fell in 2023, showing investors confidence in the future performance of these companies.

Tokamak Energy is developing technology to use the process of fusion to generate clean energy. This involves heating two hydrogen isotopes to form a plasma. At extreme temperatures, these isotopes combine, which releases large amounts of energy. This process produces no greenhouse gases and does not rely on fossil fuels. Since 2011, the Oxford-based company has received £163m in equity fundraising, including a £39.2m investment in 2024.

The future of sustainable business

The need for the faster adoption of sustainable business practices is reflected in the levels of investment seen in the companies that are aiming to assist in this process. Trends would suggest that these industries will be here to stay, with investment showing resilience to broader downward conditions. This is positive and suggests that the uptake of this technology should continue to quicken in the future.

ESG Data

In 2023, we introduced ESG (Environmental, Social and Governance) data to the Beauhurst platform, making it easier for you to search for companies that uphold these values.

Investment in ESG companies had been steadily increasing until 2022, and now we're beginning to see a decrease. In 2023, there were 729 fundraisings for companies that hit one or more of our ESG signals — and £4.3b invested. This is a 17% decrease in the number of deals from 2022, which might sound significant but it comes as no surprise in light of the economic downturn.

As we see more companies value ESG, due to the government's 'carbon zero by 2050' promise, we could see an uptick in investment here again.

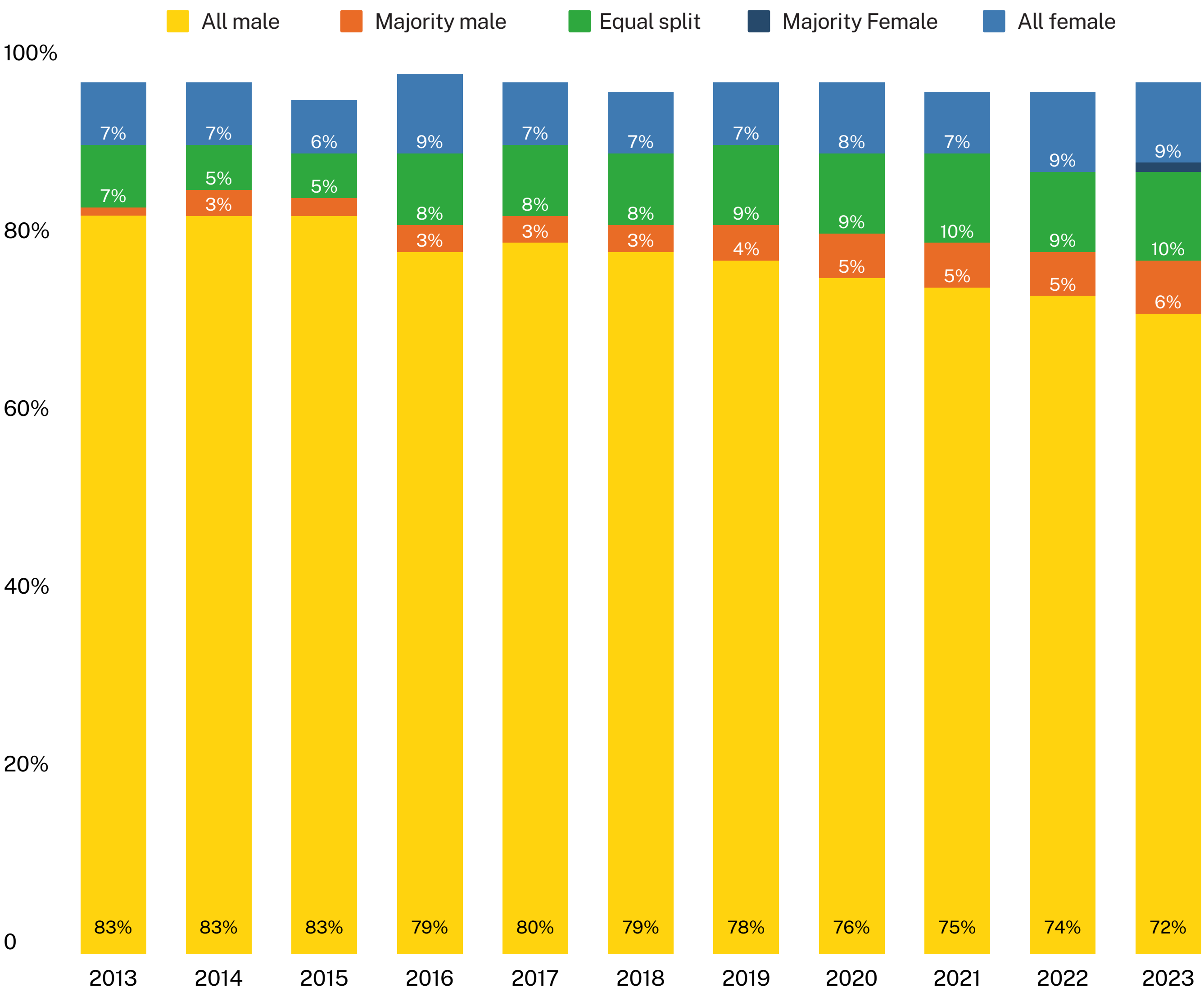
Founder Gender

Similar to last year, the majority of deals went to all-male founded companies (72.6% of companies). In 2023, we saw a marginal increase of 0.3% in funding for all-female founded companies and while only a small incline, it's still record-breaking support for female entrepreneurs. We've seen a 1.8% increase in the last decade, meaning with this continued trajectory, we could be well over 10% by 2033.

Companies with majority female founders saw the lowest investment in both number of deals and amount invested, at just 1%. Majority male companies followed at 6%.

Our numbers are based only on companies where the gender is known (1670 companies out of 1898).

5.1 Percentage of deals by gender distribution

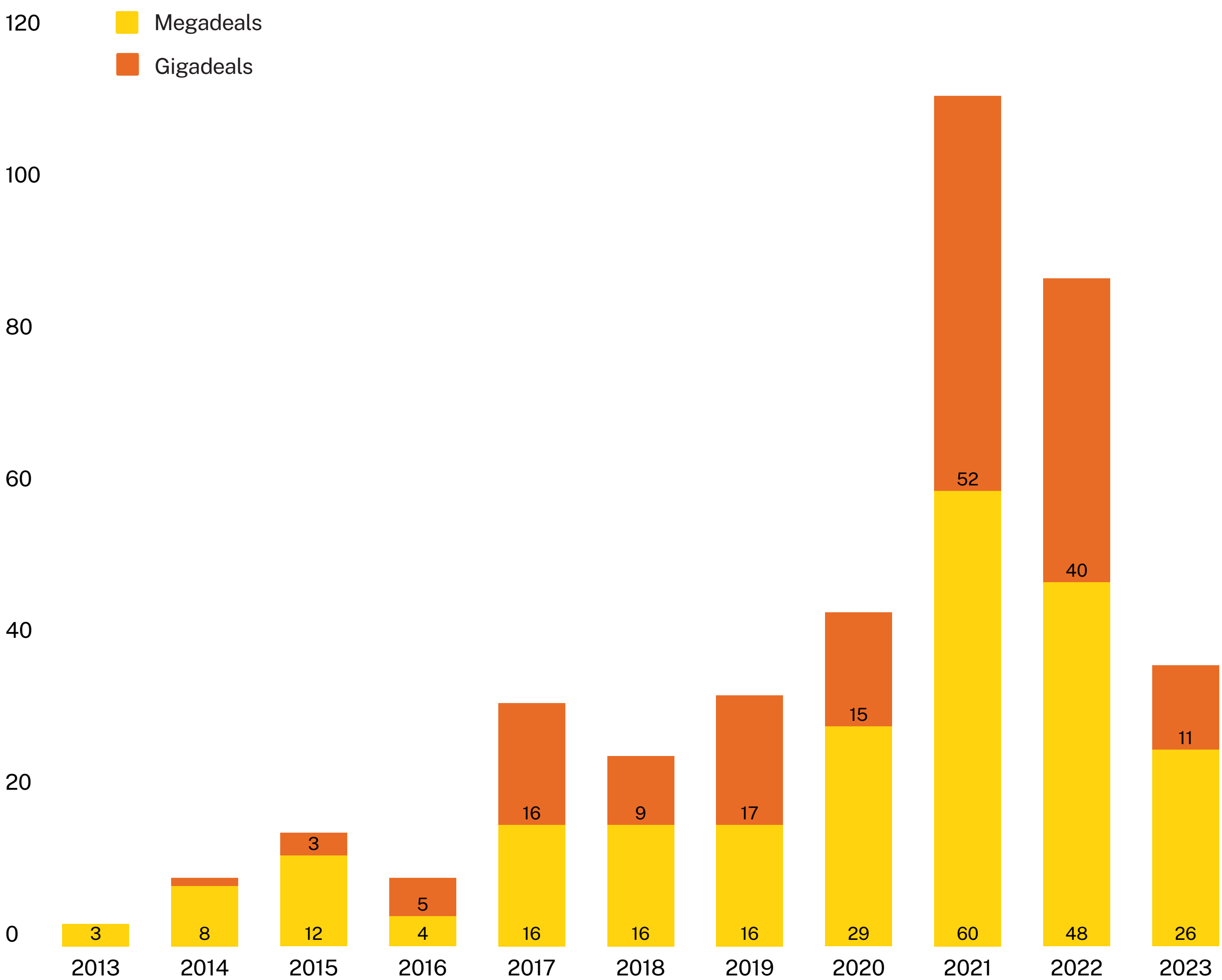


Deal Sizes

Unsurprisingly, we've seen a decline in megadeals (rounds worth £50m-100m) and gigadeals (rounds worth £100m+) in 2023. There were 11 gigadeals in 2023, and 26 megadeals, meaning gigadeals accounted for just 0.5% of all deals made in 2023, and megadeals were just 1.1%.

However, we've still seen an increase in mega and gigadeals compared to 2013 (just three megadeals, and no gigadeals) — showing that although there was less investment in the past year, we've still come a long way in the past decade. It opens up the question, where will we be in another 10 years? In theory, on that course, we could see more and more £50m+ deals.

6.1 Number of megadeals and gigadeals by year



Biggest Deals of the Year

These are the biggest equity investment deals in 2023, ordered from 10 to one:

Atom

Amount Raised

£100m

Deal date
02/11/2023

Location
North East

Sector
Business Banking, Finance

Atom has developed a digital-exclusive retail banking solution.

Quantexa

Amount Raised

£104m

Deal date
03/04/2023

Location
London

Sector
Analytics, Insights, Tools

Quantexa has leveraged big data and artificial intelligence to create a decision intelligence platform.

Ascend

Amount Raised

£105m

Deal date
09/05/2023

Location
London

Sector
Pharmaceuticals, Research

Ascend specialises in biotechnology research, with a focus on cell and gene therapy manufacturing.

CMR Surgical

Amount Raised

£134m

Deal date
20/09/2023

Location
London

Sector
Pharmaceuticals, Research

CMR Surgical designs robotic medical devices for surgical procedures and is developing a surgical data platform.

Castore

Amount Raised

£145m

Deal date
29/11/2023

Location
North West

Sector
Retail

Castore creates and markets sportswear for consumers while also providing kits and uniforms to professional athletes and sports teams.

Pragmatic

Amount Raised

£162m

Deal date
06/12/2023

Location
East of England

Sector
Electrical Manufacturing

Pragmatic produces semiconductors intended for use in mass-market consumer goods and smart packaging applications.

Field

Amount Raised

£200m

Deal date
25/07/2023

Location
London

Sector
Clean Energy

Field's primary goal is to construct renewable energy infrastructure, with a particular emphasis on energy storage solutions.

SumUp

Amount Raised

£244m

Deal date
11/12/2023

Location
London

Sector
Mobile Apps, Payments

SumUp creates payment processes, enabling merchants to handle payments both online and in physical stores.

Octopus Group

Amount Raised

£632m

Deal date
18/12/2023

Location
London

Sector
Energy, Banking

Octopus Group provides a diverse array of services spanning the finance, energy, and real estate sectors.

Howden

Amount Raised

£1.17b

Deal date
24/04/2023

Location
North West

Sector
Insurance

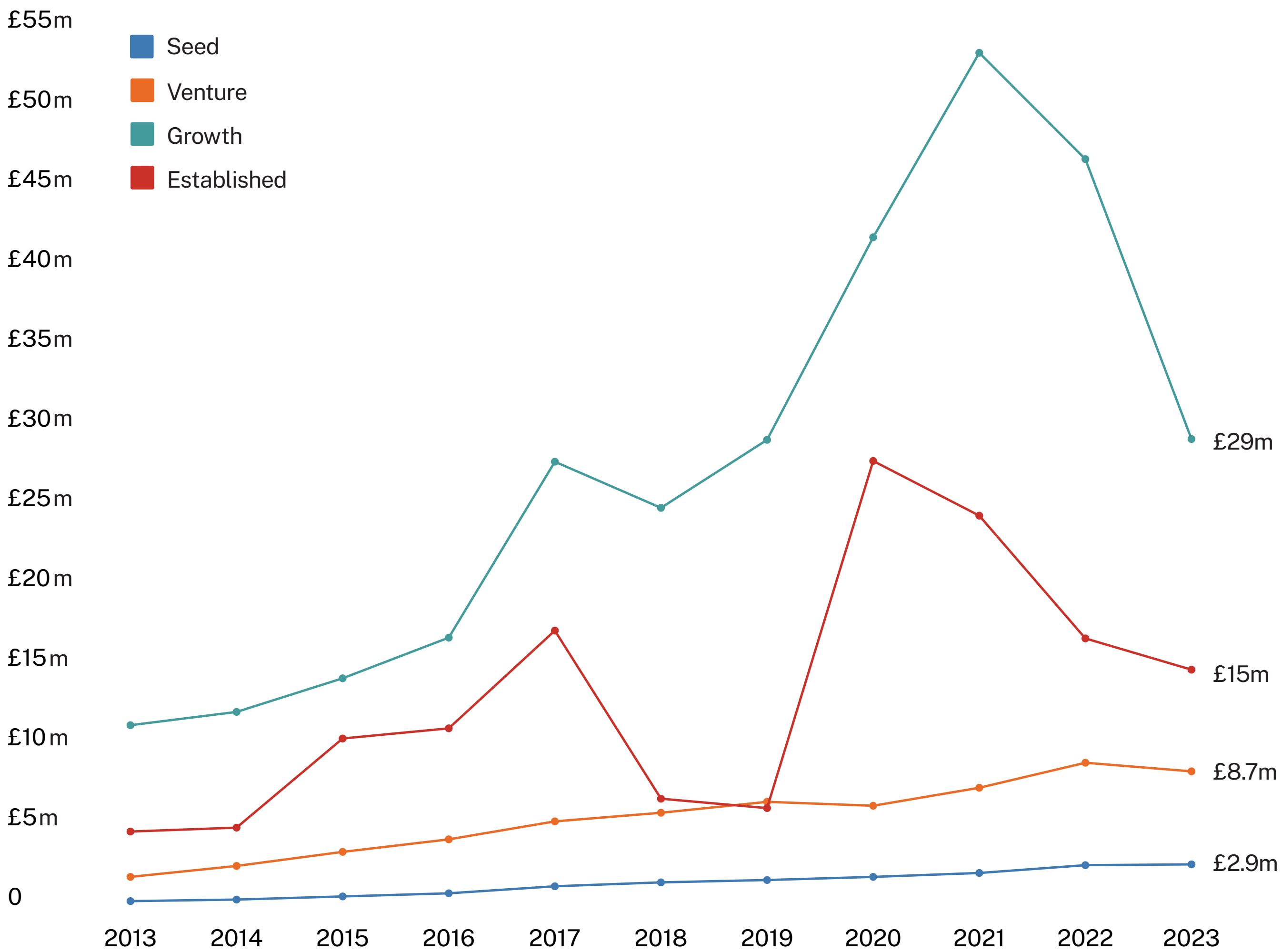
Howden Group Holdings manages several enterprises that offer international insurance brokerage and underwriting services.

Valuations

High-confidence, pre-money valuations
In our valuations section, we looked at Beauhurst's proprietary data on deal valuations. There were 928 announced deals this year for which we could calculate a high-confidence valuation. The median pre-money, high-confidence valuation for 2023 was £8.5m — this was over £2m higher than in 2022, where the median high-confidence valuation was £6.4m.

All pre-money valuations
The median pre-money valuation for seed companies rose from £2.8m to £2.9m from 2022 to 2023. However, this was the only pre-money valuation that increased — most significantly, growth-stage decreased by 37.3%. The median valuation for venture businesses was £8.7m down from £9.2m — and established companies saw an 11% decrease in valuation.

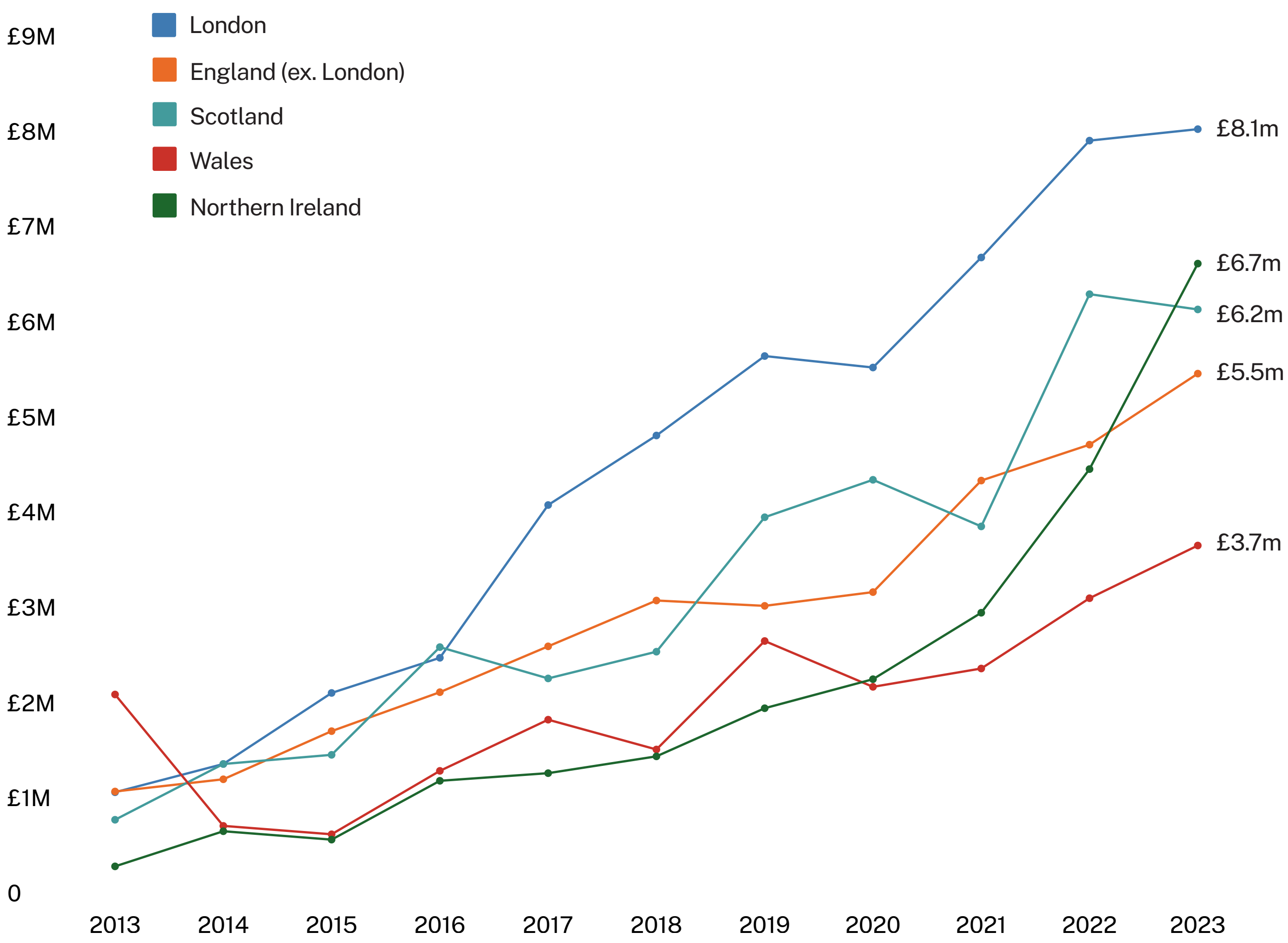
7.1 Valuations by stage of evolution



Regionally, things look more positive, with increases in valuations across all regions apart from Scotland, which only had a minor decline of 2.5%. It's promising to see such high growth levels across the UK. But we must bear in mind that this could be an inflation effect, and that some companies may have used convertible bonds which could inflate or obscure the numbers. The median pre-money valuation for Northern Ireland grew by 46%, followed by Wales increasing by 17%.

The median pre-money valuation in London remained the strongest, as we've seen in previous year. In England, excluding London, we saw valuations continue to increase on a steady trajectory.

7.2 Valuations by region



Investors

As always, the top investors of the year were private equity and venture capital firms, participating in 871 deals in 2023. This was down from last year but correlated with the number of overall fundraisings and accounted for 40% of all deals.

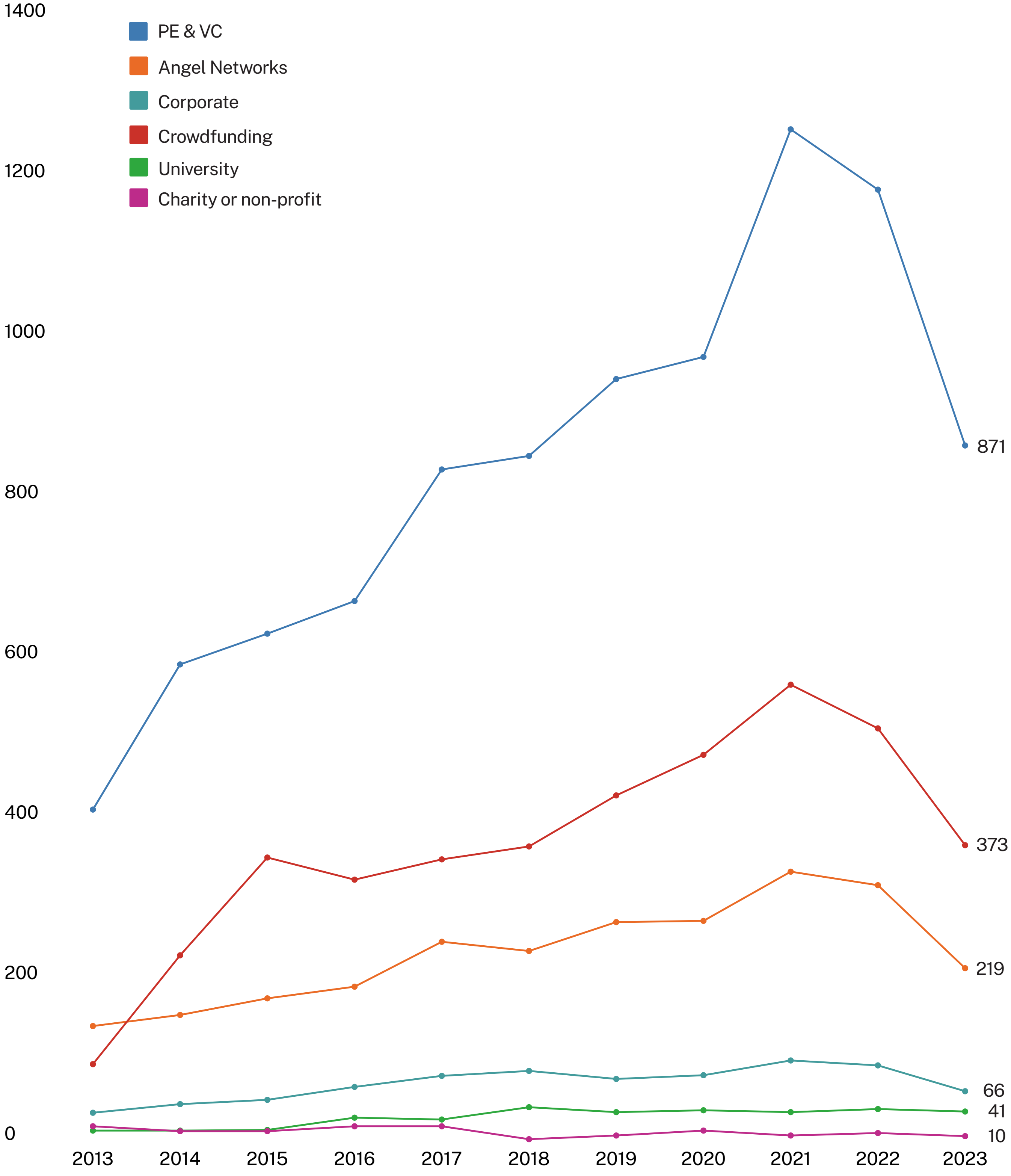
Crowdfunding accounted for 373 rounds, remaining popular. Crowdfunding has gained popularity over the past 10 years — soaring from just £18.1m in total fundraising value generated through crowdfunding in 2013 to £432m raised last year. However, as we've seen throughout this report, 2021 was crowdfunding's best year, with £811m raised.

"The top investors of the year were private equity and venture capital firms"

Angel networks backed 219 rounds in 2023, raising a total of £458m – and not all networks announce the deals they back. As we see angel investors putting money into high-growth companies, we're likely to see a continuation of seed and venture-stage companies taking a higher share of overall deals.

However, things could change as new financial thresholds for sophisticated investors and High Net Worth Individuals (HNWIs) were implemented on 31 January 2024. HNWIs now need to earn £170k, up from £100k, if they want to become an angel investor. This will make it harder for angels to receive dealflow if they don't meet these criteria, and it's a change that will disproportionately affect female investors.

8.1 Type of investor by number of deals



Over and Out: Is the Smart City Industry Dying?

Josephine Suthesh

Since 2010, smart cities as an industry has raised a staggering £553m through fundraisings.

However, with a clear peak in 2021, the trajectory for active companies in this space over time seems to have entered a decline. 67% of the companies within this space are now no longer active. What's going on here? How can this trend be explained, when the need for smarter urban environments is only growing?

Yes — the smart cities industry is dying

One contributing factor is the increase in companies' cessation of business. In fact, 2023 saw the highest number of company cessations in this space to date. Furthermore, fundraising events have been decreasing since 2019, with a temporary increase in 2021, but also remain lower today than ever.

The Beauhurst definition of a smart city is:

A smart city implements technological solutions to modernise an urban area with the aim of increasing efficiency and improving government services and citizens' welfare. This includes digitising and sustainably improving homes, transport, healthcare, water supply, public spaces, and all else that concerns the inhabitants and businesses of a municipality.

The lifecycle of Shepherd, a company which sells a monitoring system to identify events such as leaks, burglaries, and equipment failure, beautifully embodies this decrease in success, the data shows. Shepherd launched in 2015, and between the period of 2017 and 2021, it received a total of £5.9m through equity investment. However, by September 2023, it had ceased trading — a business once full of potential, now dead and no longer contributing to the increased quality of life that smart city businesses promise to improve.

No — the smart cities industry is not dying

What is dying is the term 'smart city'.

There are a plethora of think pieces out there about how smart cities as a concept are over. This includes an MIT Technology review warning that by focusing purely on how smart a city is, policies risk turning an urban environment into a flashy technology project, without taking into account the genuine livelihoods of its inhabitants. As our urban environments grow, technology cannot be the only focus, but sustainable and inclusive development, too.

With this in mind, there are many industries receiving investments that contribute towards the overall prosperity of urban spaces, while not falling under the 'smart city' umbrella. Sectors such as artificial intelligence, automation, medtech etc.

If we go back to the Beauhurst definition of a smart city, any industry that contributes to modernising an urban area could be included in this category. Artificial intelligence raised £111m in fundraising in the first month of 2024 alone, and many of those businesses, whilst not directly working on smart cities, are developing innovations that will improve cities.

An illustration relevant to this argument would be the development of Integrated Environmental Solutions Limited (IES), a company that provides 3D analysis software and consultancy to clients involved in developing sustainable buildings. Since its incorporation in 1994, IES has been recognised for its innovative approach. It spun out of the University of Strathclyde, has patents to its name, and has raised over £6m in total through fundraising and grants (the most recent secured at the end of 2023).

But, would we call IES strictly a 'smart city company'? IES is considered an IT consultancy service, or even a SaaS business. However, what the company does at the core, is support the creation of sustainable buildings — which is a part of creating a smarter city.

Conclusion

Following the 'all companies are tech companies' adage of the past few years, an enormous quantity of growing firms are working towards solutions that make our cities more efficient and sustainable — the term 'smart cities' has simply fallen out of favour.

As more and more companies seek to improve their green credentials and technological solutions, industry definitions become increasingly blurred. In the same way that we humans so dislike being put into a box, perhaps it's time to embrace how today's business sector trends are often multifarious.

While the investment world no longer focuses heavily on 'smart cities' as a term, there is certainly no shortage of excitement around mobility, AI, and green energy firms. And have no doubt — these intelligent solutions are making our cities smarter than ever before.

Credits

Lily Ruaah Author

Lily is a Content Associate and professional writer. She is responsible for content creation at Beauhurst and specialises in both creative and analytical writing. Prior to this, she worked in SEO and completed an MA in Creative Writing.

Ben Hyde Design

Ben is a Graphic Designer, creating everything from branding materials to visual content for Beauhurst's blog and long-form reports. He has a keen eye for detail and a passion for good design. Ben holds a BA in Graphic Design from the University of Cumbria.

Elizabeth Ryan Contributor

Liz is the team's Content Lead, with a soft spot for data-driven storytelling. She has 10+ years of experience in the startup/scaleup space, including co-founding a digital marketing agency in Berlin. Liz graduated from the University of Portsmouth with a first-class degree in Creative and Media Writing.

Harry Walker Contributor

Harry is a graduate associate in Beauhurst's Research & Consultancy team. He conducts data analysis and writes copy for Beauhurst reports. Before joining Beauhurst, Harry graduated from Loughborough University, where he was awarded a BSc in Economics.

Josie Suthesh Contributor

Josie is a Client Experience Manager, working within the Subscriber Growth team to ensure Beauhurst clients have support when using the platform — whether it be through training, for market research, finding new clients or qualifying leads. Josie holds a BA in Geography from Loughborough University.

Alejandro Giacometti Contributor

Alejandro is the head of the Machine Learning team at Beauhurst, which develops algorithms that enrich and connect data about businesses in the UK. He has years of experience in London technology startups and holds a PhD in Image Analysis at UCL.

Illustrations created by Reginald Swinney illustration

Beauhurst